

PROJECT RECOMMENDATION: CONDITIONAL APPROVAL

\$635m term + \$300m revolver | \$29.898m opening draw | Hold <= \$50m | owner_reviewed | Conditional Approval

Transaction, purpose, and repayment

Borrower: Quanex Building Products Corporation. Purpose: maturity extension, liquidity structure, amortization, lender protections, and monitoring - not faster same-horizon debt reduction.

Primary repayment: recurring operating cash after all required uses. Amortization/sweep are payment mechanisms. Cash and legally drawable revolver are liquidity support only. Refinancing is an unresolved maturity dependency. Recovery is the secondary backstop; official recovery N/D.

Decision metrics

FY2025 lender-base EBITDA **\$225.344m**

Opening funded debt / leverage **\$727.517m / 3.2285x**

Base minimum liquidity over forecast **\$263.902m**

Base minimum coverage over forecast **5.3860x**

07/31/29 total debt E / R / S **\$495.368m / \$507.954m / \$514.754m**

01/31/31 selected bank-debt gap **\$324.780m**

Project risk / official recovery **Elevated / N/D**

Decisive strengths

- FY2025 CFO/FCF recovery and full-year post-Tyman earnings capacity.
- Base interim debt service; substantial opening liquidity.
- 7.5% amortization, 50% ECF sweep, covenants, and early monitoring.
- Explicit existing-facility fallback and capped bank hold.

Decisive risks / downside

- Opening leverage is close to the 3.25x warning.
- Tyman, margin, working capital, capex, and control execution.
- Moderate U/M breach 10/31/26; 4.4893x/4.4670x leverage.
- U/M liquidity \$165.078m/\$168.937m; no payment failure; mitigation does not cure; no waiver.
- 01/31/31 gaps: moderate U \$408.375m; severe U \$604.258m.

Principal conditions

- \$15m source funded and accessible; no debt substitution.
- Final payoff/funds flow and satisfactory closing coverage.
- Final economics, covenants/draws, guarantees, collateral, and LCs.
- Full commitments; projections; legal/KYC/tax; reporting controls.

Fallback and owner gate

- If a material condition fails, do not add debt or loosen covenants.
- Retain or amend existing facilities through a limited amendment/extension; economics N/D.
- If moderate is near expected, resize/add non-debt capital/restructure/no close.
- All 18 Phase 10 decisions are owner_reviewed; conditions remain open.

Strongest counterargument

At 07/31/2029, selected total funded debt is \$19.4m above existing. Quanex could avoid fees and near-term debt expansion by retaining/amending. The lower selected 01/31/2031 gap partly reflects about 18 extra months. Conditional approval accepts moderate breach only as early intervention while liquidity/payment capacity remain, with reporting, corrective action, and no automatic waiver.